Day Trading Mastery

Module 1 Study Guide

Day Trading Fundamentals

This guide covers every lesson of the module, using only words and figures from the lessons themselves. Work through it after watching the lessons, then use the checklist at the end to test yourself.

Lesson 1: What Day Trading Is — and Is Not

In this lesson: Defining Day Trading; Investing vs Position Trading; The Intraday Advantage; T

Key points

- Open and close all positions daily to eliminate overnight risk
- Differentiate day trading from long-term investing and position trading
- Maintain strict risk control and position sizing on every trade

Examples from the lesson

- In Module 1, Day Trading Fundamentals, we start right at the beginning with Lesson 1: What Day Trading Is — and Is Not.
- An investor buys an asset expecting its fundamental value to grow over five, ten, or twenty years.
- Imagine you fund your trading account with TT$ 10,000 in operational capital.
- Using strict discipline, you decide to risk exactly 1 percent of your total account on a single intraday trade, which equals TT$ 100 maximum risk.
- You calculate your position size precisely so that if the price hits your stop-loss order, you lose exactly TT$ 100.
- You set your profit target at a two-to-one reward-to-risk ratio, aiming for TT$ 200 in gross gain.
- After deducting TT$ 20 in total platform execution fees, your net realized profit for that trade is TT$ 180.
- Notice what happened in that example: your focus was entirely on controlling the TT$ 100 risk before even thinking about profit.
- Day trading is not about hitting jackpot returns or buying a brand new maxi-taxi after one lucky week.
- In our next lesson, Lesson 2: Markets, Sessions, and Liquidity, we will explore the global market hours, high-volume trading sessions, and how to find liquid markets from Trinidad and Tobago.

Lesson 2: Markets, Sessions, and Liquidity

In this lesson: AST Time Zone Advantage; Core Session Windows; Friction & Liquidity Costs; Bu

Key points

- AST time zone provides direct alignment with major global market openings
- Peak liquidity during New York overlap minimizes execution costs
- Sustainable trading requires a focused daily routine during active market hours

Examples from the lesson

- You are tuned into Day Trading Mastery, Module 1: Day Trading Fundamentals, Lesson 2: Markets, Sessions, and Liquidity.
- To trade effectively, you need two things: volatility, which is price movement, and liquidity, which means enough active buyers and sellers so you can enter and exit trades smoothly without getting stuck.
- Major forex currency pairs, stock index futures like the S&P 500, and commodities like crude oil offer deep liquidity.
- Global trading revolves around three major market sessions: London, New York, and Tokyo.
- The London session opens at 4:00 AM AST, bringing high volume to European currencies.
- Then comes the sweet spot for Trinidad traders: the New York session, which opens at 9:30 AM AST and runs until 4:00 PM AST.
- Between 9:30 AM and 11:30 AM AST, London and New York overlap, creating the most liquid and volatile window of the entire day.
- Imagine you want to trade a mini-contract on a major index using a local trading account capitalized with TT$10,000.
- When you trade during peak liquidity hours, the bid-ask spread—which is your instant transaction cost—is narrow, typically around TT$20 per trade.
- If you execute four disciplined trades during the New York morning session, your total execution cost comes to TT$80.
- Because fewer traders are active, liquidity dries up and the spread widens significantly to around TT$70 per contract.
- If you execute those same four trades during off-peak hours, your transaction costs jump to TT$280.
- That difference of TT$200 in extra friction eats directly into your trading account balance before price even moves in your favor.
- If you work a regular eight-to-four job or run daily errands, you do not need to sit in front of charts all day.
- Dedicating just sixty to ninety minutes during the 9:30 AM AST New York open allows you to focus on prime market liquidity before getting on with your work or family responsibilities.
- In our next lesson, Lesson 3: Setting Up Your Workspace and Tools, we will walk through structuring your physical and digital setup, from hardware requirements to reliable internet

backup options.

Lesson 3: Setting Up Your Workspace and Tools

In this lesson: Clean Chart Configurations; Structured Intraday Watchlists; Order Platform Risk

Key points

- Cleaned chart layouts across multiple timeframes for maximum clarity.
- Built structured watchlists of liquid assets to track prime intraday opportunities.
- Configured order platforms to automate strict risk management using precise TT$ sizing.

Examples from the lesson

- We are in Module 1, "Day Trading Fundamentals," and today we are tackling Lesson 3: "Setting Up Your Workspace and Tools."
- Set up a multi-timeframe view—such as a 5-minute chart for precision entries alongside a 60-minute chart for macro trend direction.
- Avoid loading fifty random assets onto your monitor; instead, track four to six highly liquid instruments that consistently show strong volume during session open.
- Configure one-click trading or pre-set hotkeys, and always enable default stop-loss orders on every entry.
- Let’s walk through a concrete setup using a hypothetical local account funded at TT$20,000.
- Suppose your strict risk parameter is exactly 1% of your total account equity per trade.
- One percent of TT$20,000 gives you a maximum allowed risk of TT$200 on any single position.
- If your setup requires a stop-loss distance of TT$2 per asset unit, you simply divide your TT$200 risk budget by the TT$2 risk per unit.
- This math dictates a maximum position size of exactly 100 units for that execution.
- To execute this trade safely, you set an entry order for 100 units at your predetermined technical level.
- Your software instantly attaches a mandatory stop-loss order positioned TT$2 below your entry price.
- If the market turns against your trade, your bracket order automatically closes the position, strictly limiting your loss to TT$200.
- Finally, we configured our order platform to automate strict risk management using precise TT$ position sizing rules. That wraps up Module 1! Next up, we jump into Module 2: "Technical Analysis and Price Action," where we will start reading chart patterns to spot high-probability trade setups.

Recap checklist — can you say each one?

Lesson 1: What Day Trading Is — and Is Not

- ☐ Open and close all positions daily to eliminate overnight risk
- ☐ Differentiate day trading from long-term investing and position trading
- ☐ Maintain strict risk control and position sizing on every trade

Lesson 2: Markets, Sessions, and Liquidity

- ☐ AST time zone provides direct alignment with major global market openings
- ☐ Peak liquidity during New York overlap minimizes execution costs
- ☐ Sustainable trading requires a focused daily routine during active market hours

Lesson 3: Setting Up Your Workspace and Tools

- ☐ Cleaned chart layouts across multiple timeframes for maximum clarity.
- ☐ Built structured watchlists of liquid assets to track prime intraday opportunities.
- ☐ Configured order platforms to automate strict risk management using precise TT$ sizing.